AI IPO: valuing a loss-making frontier AI lab with pm-valuation

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This document values a fictive frontier AI company, **Nimbus Cognition Inc. (NMBS)**, with `pm-valuation`, the same way Appendix C of EduMatcher-valuation.md values Tornfalk Security AB: every input with its source, every formula as the code applies it, and every intermediate number, so each step can be checked by hand.

Nimbus is sized like Anthropic as publicly reported in mid-2026: about $65 bn of annualized revenue, a last private valuation near $1 trillion, a few thousand employees and an IPO raise of about $100 bn. It still lives on investor money: its cash flow is negative, and it is about to list on Nasdaq. It is an illustration of the model, built from press reports, **not a valuation of Anthropic, OpenAI or any other real company, and not investment advice**. Where the public record is silent, the numbers are assumptions, marked as such.

Two questions drive the analysis:

1. **How fast do the GPUs lose their value?** Case A: worthless after 3 years. Case B: after 5 years. Case C: after 8 years.
2. **What does a fierce market for AI talent do to the value?** Pay rises faster than elsewhere, and every employee holds a large share of options.

1. Results

	Case A: 3-year GPUs	Case B: 5-year GPUs	Case C: 8-year GPUs
Capex (GPU replacement), % of revenue	30%	18%	11.25%
Enterprise value, DCF	−$3.4 bn	$259.5 bn	$402.7 bn
DCF price per share	$39.49	$199.83	$287.13
Comparables price per share (12× next year's revenue)	$690.79	$690.79	$690.79
Fair value per share (70% DCF, 30% comparables)	**$234.88**	**$347.12**	**$408.23**
Price range	$185–210	$280–310	$325–365
Management's floor (the last private round, $965 bn)	$527.44	$527.44	$527.44
Verdict	**POSTPONE**	**POSTPONE**	**POSTPONE**
If management drops the floor: offer price	$250.00	$370.00	$435.00
Market capitalisation at that price	$510.0 bn	$706.8 bn	$813.4 bn
Book coverage at that price	7.30×	7.27×	7.28×
Monte Carlo: chance fair value is below the offer price	70.1%	74.2%	75.3%

In short:

- **With 3-year GPUs, the business is worth roughly its cash.** Replacing the GPU fleet every three years costs 30% of revenue, for ever. That absorbs nearly all the operating cash, so free cash flow stays negative for all ten forecast years, and the DCF values the operations at about zero. Fair value, $234.88, comes almost entirely from the comparables.
- **With 5-year GPUs, the same company is worth five times as much on a DCF basis.** Free cash flow turns positive in year 3, and the DCF price rises from $39.49 to $199.83. The GPU life is the single most important assumption in the

valuation.

- **With 8-year GPUs, free cash flow turns positive in year 2.** Replacement capex falls to 11.25% of revenue, and DCF value rises to $402.7 bn, or $287.13 per share. Fair value reaches $408.23, still below the private-round floor.
- **In all three cases, the IPO cannot meet the last private round.** At $965 bn post-money, management's floor of $527.44 per share is far above fair value. The model postpones the IPO: it would be a *down round*. If management accepts the market's price, the company lists at $250 (A), $370 (B) or $435 (C), still below the last round's market capitalisation.
- **Demand, not value, sets the offer price.** In all three cases the book is hot and the US rules let the deal price up to 20% above its range, so the offer price ends *above* fair value, and the Monte Carlo puts the chance that the shares are worth less than buyers pay at 70–75%.
- **Talent costs matter less than compute.** Pay rising 8% a year instead of 5%, and stock awards equal to cash pay, cost $23–27 per share of fair value in the A/B sensitivity (§9). Training compute and GPU replacement cost far more.

2. What is public

The reference company. All figures are as reported by the press or by data providers; none are audited, and the sources do not always agree.

Fact	Value	Date	Source
Annualized revenue run rate	$65 bn	July 2026	CNBC, Forge
Run rate history	$9 bn (end 2025), $14 bn (Feb), $30 bn (Apr), $47 bn (May)	2025–26	Luminix
Revenue, calendar 2025	about $4.6 bn	2025	Luminix
Operating loss, 2025	about $8 bn	2025	Luminix
Gross margin	about 40% in 2025; target 75–77% in 2028		Tiger/The Information, Luminix
Last private round	Series H: $65 bn at $965 bn post-money, up to $589.01 per share	May 2026	Forge, Luminix
Earlier round	Series G: $30 bn at $380 bn post-money	Feb 2026	Orrick
Total capital raised	about $132 bn	June 2026	Luminix
IPO	Nasdaq; raise approaching or over $100 bn; target valuation up to $2 trillion	autumn 2026	Forge, Luminix
Founders' voting class	about 50.1% of the votes, being considered	2026	Luminix
Business customers	300,000+ (80% of revenue); 1,000+ spending over $1 m a year	Oct 2025, Apr 2026	Sacra
Revenue through AWS and Google Cloud	47%	2025	Luminix
Compute commitments	$518 bn, about 80% non-cancellable	2026	Luminix
Employees	about 2,500–5,000	Mar 2026	SaaStr
Revenue expected in 2028	almost $200 bn		Forge
OpenAI 2025, for comparison	revenue $13.1 bn, costs $34 bn, R&D $19.2 bn	2025	ProPakistani

Fact	Value	Date	Source
OpenAI stock pay	about $1.5 m per employee on average	2025	Fortune
GPU life	hyperscalers depreciate servers over about 5–6 years; critics argue GPUs are economically obsolete in 2–3	2025–26	Tiger, FourWeekMBA

Some reports say the reference company made an operating profit in mid-2026 before stock-based pay. Nimbus follows the premise of this analysis instead: once stock pay and GPU depreciation are counted, it makes an operating loss, and its cash flow is negative.

3. From public facts to model answers

Nimbus lists in the United States (`market: us`): amounts in dollars, a Form S-1, the SEC, Nasdaq, a 4.25% risk-free rate, a 5% equity risk premium, 25% tax, 2.5% inflation and long-run growth, and pricing up to 20% above the range. No sector preset fits a frontier AI lab, so it starts from `b2b_saas` (business software) and overrides almost every value. Year 0 is the current run rate; year 1 is the twelve months after July 2026.

Field	Answer	Why
Name, ticker	Nimbus Cognition Inc., NMBS	Fictive
Dual-class shares	yes	The founders' voting class under consideration
Total addressable market	$1,500 bn	Assumption: spending on AI models and AI-delivered work, growing 30% a year at first
TAM growth, year 1	30%	Assumption; fades to 2.5% by year 10
SAM share	60%	Enterprise and developer demand a frontier lab can serve
Market structure	oligopoly (15%)	A handful of frontier labs
Revenue, year 0	$65 bn	The July 2026 run rate
Customers now	400,000	300,000+ business customers in late 2025, grown since
ARPU	$162,500	$65 bn ÷ 400,000: the run rate per customer
ARPU growth	5%	Default
Churn	10%	Assumption: customers switch models more easily than software
Customer growth, year 1	60%	Gives year-1 revenue of $88.7 bn and year 3 of $202 bn, close to "almost $200 bn" in 2028
Headcount	4,500	Upper half of the 2,500–5,000 estimates
Loaded cost per employee	$1,050,000	§3.2
Wage inflation	8%	§3.2: pay rises much faster than for ordinary companies
Headcount elasticity, floor	0.5, 5%	Revenue grows with compute, not people
Staff split R&D / S&M / G&A / Ops	55 / 20 / 12 / 13%	A research-led company
Infrastructure, fixed	$8 bn	Data centres, power, networking not in the GPU fleet
Infrastructure per customer	$30,000	Serving capacity rented beyond the owned fleet: 18% of ARPU

Field	Answer	Why
Other cost of revenue	10%	Cloud partners' share: 47% of revenue is sold through AWS and Google
Paid acquisition per customer	$48,750	0.3 × ARPU
R&D, non-staff	22% of revenue	Training compute; OpenAI's R&D was 147% of its 2025 revenue, falling as revenue grows
Stock-based compensation	100% of staff cost	§3.2
Capex	30% (A) / 18% (B) / 11.25% (C)	§3.1
Useful life	3 (A) / 5 (B) / 8 (C) years	§3.1
Opening PP&E	$29.25 bn (derived)	capex × revenue × life ÷ 2: the same fleet in all cases
Tax losses carried forward	$15 bn	About the operating losses to date
Cash	$70 bn	Assumption: roughly half of the capital raised is unspent
Beta, years 1–5 / year 6 on	1.8 / 1.3	A young, volatile technology stock
Size premium	0% / 0%	Not a small company
Execution premium	5%	Technology, competition and regulation risk
Pre-IPO shares	1,640,000,000	$965 bn ÷ $589.01 per share
Primary raise	$100 bn	The reported IPO size
Gross spread, other expenses	1.5%, $300 m	Very large IPOs pay far less than the 7% default
Institutional interest, retail interest, hype	very high, very high, 9	The most anticipated listing of the year
Institutions, average order	300, $1 bn	
Retail applicants, average application	2,000,000, $5,000	
Comparable EV / NTM revenue	12×	Fast-growing listed software; the Series H was about 15× the run rate
Last private round, post-money	$965 bn	Series H; becomes management's minimum market cap

Everything else keeps its default for the US market.

3.1 GPUs: fleet, life and replacement

The model has one place for long-lived equipment: **capex** (a share of revenue) and **PP&E**, depreciated straight-line over its **useful life**. Nimbus owns its GPU fleet there. We assume the fleet costs **0.9× annual revenue** at cost (an assumption: about $58.5 bn of GPUs for $65 bn of revenue). Keeping such a fleet means replacing it once per life:

```
capex share = fleet ÷ life      Case A: 0.9 ÷ 3 = 30%      Case B: 0.9 ÷ 5 = 18%      Case C:
opening PP&E = capex share × revenue × life ÷ 2 = 0.9 × 65 ÷ 2 = $29.25 bn in all three cases
```

The opening fleet is the same in all three cases; only how fast it must be replaced differs. Training runs on rented or shared capacity are counted as R&D (22% of revenue), and serving capacity beyond the fleet as infrastructure.

3.2 Talent: pay and options

Frontier labs compete for a few thousand researchers. Reported stock awards at OpenAI average about $1.5 m per employee a year, several times cash pay. The model expresses stock pay as a share of cash staff cost, at most 100%, so:

```
total pay per employee ≈ cash $600,000 + stock $1,500,000 = $2.1 m
loaded cost L, with stock pay = 100% of L:   2 × L = $2.1 m   →   L = $1,050,000
```

The loaded cost therefore carries the cash pay plus $450,000 of the stock, and stock-based compensation adds the other $1,050,000. Pay then rises 8% a year, against 3.5% for an ordinary company. Stock pay is a real cost in the model (§6 of the design): it dilutes the owners even though no cash leaves.

3.3 What the model cannot express

- **Growth capex.** Capex is a fixed share of revenue, so the extra GPUs needed to *grow* the fleet are not charged separately. In years of 40–58% growth, all three cases understate the cash needed.
- **Falling compute prices.** GPUs, power and inference get cheaper per unit over time; the model escalates infrastructure with inflation and keeps training at a fixed 22% of revenue.
- **Pay above the cap.** Stock pay is capped at 100% of cash pay, hence the construction in §3.2.
- **Committed compute.** $518 bn of commitments is an obligation, not debt in the bridge; it shows up only through the cost lines.
- **Revenue per employee.** At $15–37 m per employee, Nimbus is far outside the software sector's plausible range, and warning V020 fires. That is a real feature of AI labs, not an error in the inputs.

4. Case A: GPUs worthless after 3 years

All amounts in billions of dollars ($bn) unless stated; customers in thousands. The model computes in full precision and rounds only for display, so a sum of displayed numbers can differ in the last decimal.

4.1 Market and customers

The formulas are those of Appendix C.3 of the design document, with N = 10. The S-curve's intensity is calibrated so that year 1 grows by exactly the year-1 customer growth:

```
Max customers_1 = 15% × (1,500 × 1.30 × 60%) ÷ (162,500 × 1.05) = 15% × 1,170 bn ÷ 170,625 =
a = (growth_1 + churn) ÷ (1 − C_0 ÷ Max customers_1) = (0.60 + 0.10) ÷ (1 − 400 ÷ 1,028.6) =
Gross adds_1 = 1.145455 × 400 k × 0.611111 = 280.0 k;  churned = 10% × 400 k = 40.0 k;  end =
Revenue_1 = (400 + 640) ÷ 2 × 170,625 = 520 k × $170,625 = $88.7 bn       36.5% above the $65
```

Because year 0 is a run rate, not a year in which the customer base grew, year-1 growth does not include the run-rate effect that Tornfalk's has.

	Y1	Y2	Y3	Y4	Y5	Y6	Y7	Y8	Y9	Y10	Y
TAM growth	30.0%	26.9%	23.9%	20.8%	17.8%	14.7%	11.7%	8.6%	5.6%	2.5%	2.5
TAM ($bn)	1,950	2,475	3,067	3,706	4,364	5,007	5,591	6,073	6,410	6,570	6,7
SAM = 60% × TAM	1,170	1,485	1,840	2,223	2,619	3,004	3,355	3,644	3,846	3,942	4,0

	Y1	Y2	Y3	Y4	Y5	Y6	Y7	Y8	Y9	Y10	Y
ARPU growth	5.00%	4.72%	4.44%	4.17%	3.89%	3.61%	3.33%	3.06%	2.78%	2.50%	2.5(
ARPU ($)	170,625	178,682	186,624	194,400	201,960	209,253	216,228	222,835	229,025	234,750	240,6
Max customers (k) = 15% × SAM ÷ ARPU	1,028.6	1,246.8	1,479.0	1,715.6	1,945.0	2,153.5	2,327.2	2,452.7	2,518.9	2,518.9	2,51
Customers, start (k)	400.0	640.0	932.8	1,234.1	1,507.4	1,745.1	1,949.7	2,117.0	2,237.2	2,300.1	2,29
+ Gross adds (k)	280.0	356.8	394.6	396.7	388.4	379.1	362.3	331.9	286.7	228.9	22
– Churned, 10% (k)	40.0	64.0	93.3	123.4	150.7	174.5	195.0	211.7	223.7	230.0	22
= Customers, end (k)	640.0	932.8	1,234.1	1,507.4	1,745.1	1,949.7	2,117.0	2,237.2	2,300.1	2,299.0	2,29
Penetration of the ceiling	62%	75%	83%	88%	90%	91%	91%	91%	91%	91%	9
Revenue	88.7	140.5	202.2	266.5	328.4	386.6	439.7	485.1	519.6	539.8	55
Revenue growth	36.5%	58.4%	43.9%	31.8%	23.3%	17.7%	13.7%	10.3%	7.1%	3.9%	2.5

The company fills 91% of its ceiling by year 6: growth after that comes from the market and the price, which both fade to 2.5%.

4.2 Staff

```
Headcount growth_t = max(5%, 0.5 × revenue growth_t);   Loaded cost_t = $1,050,000 × 1.08^t
Year 1: 0.5 × 36.5% = 18.2%;  4,500 × 1.182 = 5,321;  $1,134,000 × 5,321 = $6.0 bn
```

	Y1	Y2	Y3	Y4	Y5	Y6	Y7	Y8	Y9	Y10	Y11
Headcount growth	18.2%	29.2%	21.9%	15.9%	11.6%	8.8%	6.9%	5.2%	5.0%	5.0%	5.0%
Headcount	5,321	6,874	8,383	9,716	10,845	11,805	12,616	13,268	13,931	14,628	15,359
Loaded cost ($k)	1,134	1,225	1,323	1,429	1,543	1,666	1,800	1,943	2,099	2,267	2,448
Staff cost	6.0	8.4	11.1	13.9	16.7	19.7	22.7	25.8	29.2	33.2	37.6
Revenue per employee ($m)	16.7	20.4	24.1	27.4	30.3	32.7	34.9	36.6	37.3	36.9	36.0

Staff cost is small next to revenue: $6.0 bn of $88.7 bn in year 1, doubled by stock pay. Pay rising 8% a year against prices rising 2.5% in the long run still squeezes the margin late in the forecast.

4.3 Costs and operating profit

```
Infrastructure_t = ($8 bn + $30,000 × average customers_t) × 1.025^t
Year 1: ($8 bn + $30,000 × 520 k) × 1.025 = $23.6 bn × 1.025 = $24.2 bn
R&D_t = R&D staff_t + 22% × revenue_t (training compute)
D&A_t = PP&E at the start of the year ÷ 3
```

	Y1	Y2	Y3	Y4	Y5	Y6	Y7	Y8	Y9	Y10	Y11
Revenue	88.7	140.5	202.2	266.5	328.4	386.6	439.7	485.1	519.6	539.8	553.2
Infrastructure	24.2	33.2	43.6	54.2	64.3	73.6	82.0	89.3	95.0	98.5	101.0
Partner share and other (10%)	8.9	14.1	20.2	26.6	32.8	38.7	44.0	48.5	52.0	54.0	55.3
Ops staff (13%)	0.8	1.1	1.4	1.8	2.2	2.6	3.0	3.4	3.8	4.3	4.9
Gross profit	54.9	92.2	136.9	183.8	229.2	271.8	310.7	343.9	368.8	383.0	392.0
Gross margin	61.9%	65.6%	67.7%	69.0%	69.8%	70.3%	70.7%	70.9%	71.0%	70.9%	70.9%
R&D: staff + training compute 22%	22.8	35.5	50.6	66.3	81.5	95.9	109.2	120.9	130.4	137.0	142.4
S&M: staff + acquisition	15.3	20.1	23.2	24.5	25.3	26.0	26.3	25.7	24.1	21.6	23.0
G&A	3.4	5.2	7.4	9.7	11.9	14.0	15.9	17.7	19.1	20.2	21.1
SBC = 100% of staff cost	6.0	8.4	11.1	13.9	16.7	19.7	22.7	25.8	29.2	33.2	37.6
EBITDA	7.4	22.8	44.6	69.5	93.8	116.3	136.6	153.9	166.0	171.0	167.9
D&A = opening PP&E ÷ 3	9.8	15.4	24.3	36.4	50.9	66.8	83.2	99.4	114.8	128.5	139.6
EBIT	−2.4	7.5	20.3	33.0	42.9	49.5	53.4	54.5	51.2	42.5	28.2
EBIT margin	−2.7%	5.3%	10.0%	12.4%	13.1%	12.8%	12.2%	11.2%	9.9%	7.9%	5.1%

Gross margin climbs from 62% to 71%, in line with the reported path from about 40% towards 75%. The operating loss of year 1 (−2.7%) turns into a profit in year 2. From year 7 the margin falls again: depreciation catches up with the 30% capex as the fleet matures, and pay outgrows prices.

4.4 Tax

	Y1	Y2	Y3	Y4	Y5	Y6	Y7	Y8	Y9	Y10	Y11
EBIT	−2.4	7.5	20.3	33.0	42.9	49.5	53.4	54.5	51.2	42.5	28.2
NOL, opening	15.0	17.4	9.9	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
NOL used	0.0	7.5	9.9	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
NOL, closing	17.4	9.9	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Tax = 25% × (EBIT − used)	0.0	0.0	2.6	8.3	10.7	12.4	13.4	13.6	12.8	10.6	7.1

The $15 bn of losses carried forward, plus year 1's loss, shelter years 2–3.

4.5 GPU fleet and free cash flow

```
Capex_t = 30% × revenue_t;   PP&E_t = PP&E_{t−1} + capex_t − D&A_t;   NWC_t = −5% × revenue_t
FCFF_t = EBIT_t − tax_t + D&A_t − capex_t − ΔNWC_t
```

	Y1	Y2	Y3	Y4	Y5	Y6	Y7	Y8	Y9	Y10	Y11
GPU fleet (PP&E), opening	29.2	46.1	72.9	109.3	152.8	200.4	249.6	298.3	344.4	385.5	418.9
+ Capex = 30% of revenue	26.6	42.2	60.7	79.9	98.5	116.0	131.9	145.5	155.9	161.9	166.0
− D&A	9.8	15.4	24.3	36.4	50.9	66.8	83.2	99.4	114.8	128.5	139.6
= PP&E, closing	46.1	72.9	109.3	152.8	200.4	249.6	298.3	344.4	385.5	418.9	445.2
ΔNWC (NWC = −5% of revenue)	−1.2	−2.6	−3.1	−3.2	−3.1	−2.9	−2.7	−2.3	−1.7	−1.0	−0.7
EBIT − tax + D&A	7.4	22.8	42.0	61.2	83.1	103.9	123.3	140.3	153.2	160.4	160.8
− Capex − ΔNWC	−25.4	−39.6	−57.6	−76.7	−95.4	−113.1	−129.2	−143.3	−154.1	−160.9	−165.3
= FCFF	−18.1	−16.7	−15.6	−15.5	−12.3	−9.1	−6.0	−3.0	−0.9	−0.6	−4.5

Free cash flow never turns positive. Each year, the cash the operations generate is spent on replacing and extending a fleet that is worthless after three years. Year 1 burns $18.1 bn, year 10 still $0.6 bn.

4.6 Discount rates

```
k_e1 = 4.25% + 1.8 × 5.0% + 0% + 5.0% = 18.25%      years 1–5
k_e2 = 4.25% + 1.3 × 5.0% + 0%        = 10.75%      year 6 on and the terminal value
No debt, so both rates are costs of equity.
```

4.7 Enterprise value

Year	Rate	Discount factor	FCFF	Present value
1	18.25%	0.845666	−18.1	−15.3
2	18.25%	0.715151	−16.7	−12.0
3	18.25%	0.604779	−15.6	−9.4
4	18.25%	0.511441	−15.5	−7.9
5	18.25%	0.432508	−12.3	−5.3
6	10.75%	0.390527	−9.1	−3.6
7	10.75%	0.352620	−6.0	−2.1
8	10.75%	0.318393	−3.0	−0.9
9	10.75%	0.287488	−0.9	−0.3
10	10.75%	0.259583	−0.6	−0.1
Sum				**−57.0**

```
NOPAT_11          = EBIT_11 × (1 − 25%) = 28.2 × 0.75 = 21.2 $bn
RONIC             = r_2 + 2% = 12.75%
Reinvestment rate = g / RONIC = 2.5% / 12.75% = 19.61%
FCFF_11           = NOPAT_11 × (1 − reinvestment) = 17.0 $bn
TV at year 10     = FCFF_11 / (r_2 − g) = 17.0 / (10.75% − 2.5%) = 206.2 $bn
PV of TV          = TV × DF_10 = 206.2 × 0.259583 = 53.5 $bn
Enterprise value  = −57.0 + 53.5 = −3.4 $bn
```

The ten years of burn are worth −$57.0 bn today, and the terminal value +$53.5 bn: the operations are worth about nothing. (The report's "terminal-value share" is meaningless here, as the enterprise value is close to zero.)

4.8 From enterprise value to fair value

```
Equity_pre  = EV + cash − debt = −3.4 + 70.0 − 0 = 66.6 $bn
Fees        = 1.5% × 100.0 + 0.3 = 1.8 $bn
DCF price   = (66.6 − 1.8) / 1.64 bn shares = 39.49 $
EV_comps    = 12 × Revenue_1 = 12 × 88.7 = 1,064.7 $bn
Comps price = (1,064.7 + 70.0 − 1.8) / 1.64 bn shares = 690.79 $
Fair value  = 0.70 × 39.49 + 0.30 × 690.79 = 27.64 + 207.24 = 234.88 $
```

The DCF price is almost entirely the $70 bn of cash. The comparables price is 17 times larger, so warning V017 fires; fair value is 88% comparables in dollars, although the comparables carry only 30% of the weight.

4.9 The price range and management's floor

```
mid      = 234.88 × 0.85 = 199.65;  step = 5.00
range    = round down (189.66) − round up (209.63) = 185.00–210.00
floor    = (minimum market cap − raise) / shares = (965.0 − 100.0) / 1.64 bn = 527.44
moved    = 530.00–555.00, midpoint 542.50
discount = 1 − 542.50 / 234.88 = −131.0%  < 5% minimum  →  POSTPONED
```

The last private round valued Nimbus at $965 bn. Listing below it would be a down round, so by default management refuses any market cap below it. That floor, $527.44 per share, is 2.2 times fair value: no discount is left for IPO buyers, and the model **postpones the IPO** (V012).

5. Case B: GPUs worthless after 5 years

Only capex (18% of revenue) and the useful life (5 years) change. Market, customers, revenue, staff and every cost above EBITDA are identical to Case A (§4.1–§4.2). The opening fleet is the same: 18% × $65 bn × 5 ÷ 2 = $29.25 bn.

5.1 Operating profit

	Y1	Y2	Y3	Y4	Y5	Y6	Y7	Y8	Y9	Y10	Y11
Revenue	88.7	140.5	202.2	266.5	328.4	386.6	439.7	485.1	519.6	539.8	553.2
Infrastructure	24.2	33.2	43.6	54.2	64.3	73.6	82.0	89.3	95.0	98.5	101.0
Partner share and other (10%)	8.9	14.1	20.2	26.6	32.8	38.7	44.0	48.5	52.0	54.0	55.3
Ops staff (13%)	0.8	1.1	1.4	1.8	2.2	2.6	3.0	3.4	3.8	4.3	4.9
Gross profit	54.9	92.2	136.9	183.8	229.2	271.8	310.7	343.9	368.8	383.0	392.0

	Y1	Y2	Y3	Y4	Y5	Y6	Y7	Y8	Y9	Y10	Y11
Gross margin	61.9%	65.6%	67.7%	69.0%	69.8%	70.3%	70.7%	70.9%	71.0%	70.9%	70.9%
R&D: staff + training compute 22%	22.8	35.5	50.6	66.3	81.5	95.9	109.2	120.9	130.4	137.0	142.4
S&M: staff + acquisition	15.3	20.1	23.2	24.5	25.3	26.0	26.3	25.7	24.1	21.6	23.0
G&A	3.4	5.2	7.4	9.7	11.9	14.0	15.9	17.7	19.1	20.2	21.1
SBC = 100% of staff cost	6.0	8.4	11.1	13.9	16.7	19.7	22.7	25.8	29.2	33.2	37.6
EBITDA	7.4	22.8	44.6	69.5	93.8	116.3	136.6	153.9	166.0	171.0	167.9
D&A = opening PP&E ÷ 5	5.8	7.9	11.4	16.4	22.7	30.0	37.9	46.1	54.4	62.2	69.2
EBIT	1.5	15.0	33.3	53.1	71.1	86.3	98.7	107.8	111.6	108.8	98.7
EBIT margin	1.7%	10.7%	16.4%	19.9%	21.7%	22.3%	22.5%	22.2%	21.5%	20.2%	17.8%

The same company now shows an operating *profit* in year 1 (1.7%) instead of a loss: depreciation over 5 years instead of 3 is $4.0 bn lower. Whether an AI lab "makes a loss" can depend on nothing but its GPU accounting.

5.2 Tax

	Y1	Y2	Y3	Y4	Y5	Y6	Y7	Y8	Y9	Y10	Y11
EBIT	1.5	15.0	33.3	53.1	71.1	86.3	98.7	107.8	111.6	108.8	98.7
NOL, opening	15.0	13.5	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
NOL used	1.5	13.5	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
NOL, closing	13.5	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Tax = 25% × (EBIT − used)	0.0	0.4	8.3	13.3	17.8	21.6	24.7	26.9	27.9	27.2	24.7

5.3 GPU fleet and free cash flow

	Y1	Y2	Y3	Y4	Y5	Y6	Y7	Y8	Y9	Y10	Y11
GPU fleet (PP&E), opening	29.2	39.4	56.8	81.8	113.4	149.9	189.5	230.7	271.9	311.0	346.0
+ Capex = 18% of revenue	16.0	25.3	36.4	48.0	59.1	69.6	79.1	87.3	93.5	97.2	99.6
− D&A	5.8	7.9	11.4	16.4	22.7	30.0	37.9	46.1	54.4	62.2	69.2
= PP&E, closing	39.4	56.8	81.8	113.4	149.9	189.5	230.7	271.9	311.0	346.0	376.4
ΔNWC (NWC = −5% of revenue)	−1.2	−2.6	−3.1	−3.2	−3.1	−2.9	−2.7	−2.3	−1.7	−1.0	−0.7
EBIT − tax + D&A	7.4	22.5	36.3	56.2	76.0	94.7	111.9	127.0	138.1	143.8	143.2
− Capex − ΔNWC	−14.8	−22.7	−33.3	−44.8	−56.0	−66.7	−76.5	−85.0	−91.8	−96.2	−98.9
= FCFF	−7.4	−0.2	3.0	11.4	20.0	28.1	35.5	41.9	46.3	47.7	44.3

Free cash flow is positive from year 3 and reaches $47.7 bn in year 10.

5.4 Enterprise value

Year	Rate	Discount factor	FCFF	Present value
1	18.25%	0.845666	−7.4	−6.3

Year	Rate	Discount factor	FCFF	Present value
2	18.25%	0.715151	−0.2	−0.2
3	18.25%	0.604779	3.0	1.8
4	18.25%	0.511441	11.4	5.8
5	18.25%	0.432508	20.0	8.7
6	10.75%	0.390527	28.1	11.0
7	10.75%	0.352620	35.5	12.5
8	10.75%	0.318393	41.9	13.4
9	10.75%	0.287488	46.3	13.3
10	10.75%	0.259583	47.7	12.4
Sum				**72.4**

```
NOPAT_11          = EBIT_11 × (1 − 25%) = 98.7 × 0.75 = 74.0 $bn
RONIC             = r_2 + 2% = 12.75%
Reinvestment rate = g / RONIC = 2.5% / 12.75% = 19.61%
FCFF_11           = NOPAT_11 × (1 − reinvestment) = 59.5 $bn
TV at year 10     = FCFF_11 / (r_2 − g) = 59.5 / (10.75% − 2.5%) = 721.0 $bn
PV of TV          = TV × DF_10 = 721.0 × 0.259583 = 187.2 $bn
Enterprise value  = 72.4 + 187.2 = 259.5 $bn
```

5.5 Fair value and the floor

```
Equity_pre  = EV + cash − debt = 259.5 + 70.0 − 0 = 329.5 $bn
Fees        = 1.5% × 100.0 + 0.3 = 1.8 $bn
DCF price   = (329.5 − 1.8) / 1.64 bn shares = 199.83 $
EV_comps    = 12 × Revenue_1 = 12 × 88.7 = 1,064.7 $bn
Comps price = (1,064.7 + 70.0 − 1.8) / 1.64 bn shares = 690.79 $
Fair value  = 0.70 × 199.83 + 0.30 × 690.79 = 139.88 + 207.24 = 347.12 $
mid      = 347.12 × 0.85 = 295.05;  step = 5.00
range    = round down (280.30) − round up (309.80) = 280.00–310.00
floor    = (minimum market cap − raise) / shares = (965.0 − 100.0) / 1.64 bn = 527.44
moved    = 530.00–560.00, midpoint 545.00
discount = 1 − 545.00 / 347.12 = −57.0%  < 5% minimum  →  POSTPONED
```

Even with a DCF five times higher, fair value is $180 below management's floor, and the IPO is **postponed** again.

6. Case C: GPUs worthless after 8 years

Only capex (11.25% of revenue) and useful life (8 years) change from Case A. Market, customers, revenue, staff and every cost above EBITDA are identical to Case A (§4.1–§4.2). The opening fleet is the same: 11.25% × $65 bn × 8 ÷ 2 = $29.25 bn.

6.1 Operating profit

	Y1	Y2	Y3	Y4	Y5	Y6	Y7	Y8	Y9	Y10	Y11
Revenue	88.7	140.5	202.2	266.5	328.4	386.6	439.7	485.1	519.6	539.8	553.2
Infrastructure	24.2	33.2	43.6	54.2	64.3	73.6	82.0	89.3	95.0	98.5	101.0

	Y1	Y2	Y3	Y4	Y5	Y6	Y7	Y8	Y9	Y10	Y11
Partner share and other (10%)	8.9	14.1	20.2	26.6	32.8	38.7	44.0	48.5	52.0	54.0	55.3
Ops staff (13%)	0.8	1.1	1.4	1.8	2.2	2.6	3.0	3.4	3.8	4.3	4.9
Gross profit	54.9	92.2	136.9	183.8	229.2	271.8	310.7	343.9	368.8	383.0	392.0
Gross margin	61.9%	65.6%	67.7%	69.0%	69.8%	70.3%	70.7%	70.9%	71.0%	70.9%	70.9%
R&D: staff + training compute 22%	22.8	35.5	50.6	66.3	81.5	95.9	109.2	120.9	130.4	137.0	142.4
S&M: staff + acquisition	15.3	20.1	23.2	24.5	25.3	26.0	26.3	25.7	24.1	21.6	23.0
G&A	3.4	5.2	7.4	9.7	11.9	14.0	15.9	17.7	19.1	20.2	21.1
SBC = 100% of staff cost	6.0	8.4	11.1	13.9	16.7	19.7	22.7	25.8	29.2	33.2	37.6
EBITDA	7.4	22.8	44.6	69.5	93.8	116.3	136.6	153.9	166.0	171.0	167.9
D&A = opening PP&E ÷ 8	3.7	4.4	5.9	8.0	10.7	14.0	17.7	21.7	25.8	29.9	33.7
EBIT	3.7	18.4	38.7	61.5	83.1	102.3	118.9	132.3	140.2	141.2	134.1
EBIT margin	4.2%	13.1%	19.2%	23.1%	25.3%	26.5%	27.1%	27.3%	27.0%	26.1%	24.3%

The company is profitable from year 1, with EBIT of $3.7 bn. The 8-year writeoff makes year-1 depreciation $3.7 bn, versus $9.8 bn in Case A and $5.8 bn in Case B. EBIT margin peaks at 27.3% in year 8 and then eases as pay continues to outgrow prices.

6.2 Tax

	Y1	Y2	Y3	Y4	Y5	Y6	Y7	Y8	Y9	Y10	Y11
EBIT	3.7	18.4	38.7	61.5	83.1	102.3	118.9	132.3	140.2	141.2	134.1
NOL, opening	15.0	11.3	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
NOL used	3.7	11.3	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
NOL, closing	11.3	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Tax = 25% × (EBIT − used)	0.0	1.8	9.7	15.4	20.8	25.6	29.7	33.1	35.1	35.3	33.5

The $15 bn of carried-forward losses shelter year 1 and most of year 2.

6.3 GPU fleet and free cash flow

$$\text{Capex}_t = 11.25\% \times \text{revenue}_t; \quad \text{PP\&E}_t = \text{PP\&E}_{t-1} + \text{capex}_t - \text{D\&A}_t$$
$$\text{NWC}_t = -5\% \times \text{revenue}_t; \quad \text{FCFF}_t = \text{EBIT}_t - \text{tax}_t + \text{D\&A}_t - \text{capex}_t - \Delta\text{NWC}_t$$

	Y1	Y2	Y3	Y4	Y5	Y6	Y7	Y8	Y9	Y10	Y11
GPU fleet (PP&E), opening	29.2	35.6	46.9	63.8	85.8	112.0	141.5	173.3	206.2	238.9	269.8
+ Capex = 11.25% of revenue	10.0	15.8	22.7	30.0	36.9	43.5	49.5	54.6	58.5	60.7	62.2
− D&A	3.7	4.4	5.9	8.0	10.7	14.0	17.7	21.7	25.8	29.9	33.7
= PP&E, closing	35.6	46.9	63.8	85.8	112.0	141.5	173.3	206.2	238.9	269.8	298.3
ΔNWC (NWC = −5% of revenue)	−1.2	−2.6	−3.1	−3.2	−3.1	−2.9	−2.7	−2.3	−1.7	−1.0	−0.7

	Y1	Y2	Y3	Y4	Y5	Y6	Y7	Y8	Y9	Y10	Y11
EBIT − tax + D&A	7.4	21.1	34.9	54.1	73.0	90.7	106.9	120.9	131.0	135.7	134.3
− Capex − ΔNWC	−8.8	−13.2	−19.7	−26.8	−33.9	−40.6	−46.8	−52.3	−56.7	−59.7	−61.6
= FCFF	−1.4	7.9	15.3	27.3	39.2	50.2	60.1	68.6	74.2	76.0	72.8

Free cash flow turns positive in year 2 and reaches $76.0 bn in year 10. The longer life reduces annual replacement capex enough for operating cash flow to cover both the fleet and growth in working capital.

6.4 Discount rates

The discount rates are the same as in Case A (§4.6): 18.25% for years 1–5 and 10.75% from year 6 onward and for the terminal value.

6.5 Enterprise value

Year	Rate	Discount factor	FCFF	Present value
1	18.25%	0.845666	−1.4	−1.2
2	18.25%	0.715151	7.9	5.6
3	18.25%	0.604779	15.3	9.2
4	18.25%	0.511441	27.3	14.0
5	18.25%	0.432508	39.2	17.0
6	10.75%	0.390527	50.2	19.6
7	10.75%	0.352620	60.1	21.2
8	10.75%	0.318393	68.6	21.8
9	10.75%	0.287488	74.2	21.3
10	10.75%	0.259583	76.0	19.7
Sum				**148.2**

```
NOPAT_11          = EBIT_11 × (1 − 25%) = 134.1 × 0.75 = 100.6 $bn
RONIC             = r_2 + 2% = 12.75%
Reinvestment rate = g / RONIC = 2.5% / 12.75% = 19.61%
FCFF_11           = NOPAT_11 × (1 − reinvestment) = 80.9 $bn
TV at year 10     = FCFF_11 / (r_2 − g) = 80.9 / (10.75% − 2.5%) = 980.3 $bn
PV of TV          = TV × DF_10 = 980.3 × 0.259583 = 254.5 $bn
Enterprise value  = 148.2 + 254.5 = 402.7 $bn
```

The terminal-value FCFF uses the steady-state reinvestment rate (growth ÷ RONIC), so it differs from the year-11 line-item FCFF in §6.3.

The ten forecast years contribute $148.2 bn of present value, and the terminal value contributes $254.5 bn. Together they value the operations at $402.7 bn.

6.6 From enterprise value to fair value

```
Equity_pre  = EV + cash − debt = 402.7 + 70.0 − 0 = 472.7 $bn
Fees        = 1.5% × 100.0 + 0.3 = 1.8 $bn
DCF price   = (472.7 − 1.8) / 1.64 bn shares = 287.13 $
EV_comps    = 12 × Revenue_1 = 12 × 88.7 = 1,064.7 $bn
Comps price = (1,064.7 + 70.0 − 1.8) / 1.64 bn shares = 690.79 $
Fair value  = 0.70 × 287.13 + 0.30 × 690.79 = 408.23 $
mid      = 408.23 × 0.85 = 346.99;  range = 325.00–365.00
floor    = (965.0 − 100.0) / 1.64 bn shares = 527.44 $
moved    = 530.00–570.00, midpoint 550.00
discount = 1 − 550.00 / 408.23 = −34.7%  < 5% minimum  →  POSTPONED
```

The operations are worth more than in either shorter-life case, but the $527.44 floor is still $119 per share above fair value. The IPO is **postponed** unless management accepts a down round.

7. The three cases side by side

	Case A: 3 years	Case B: 5 years	Case C: 8 years	B − A	C − B
Capex, % of revenue	30%	18%	11.25%	−12 points	−6.75 points
D&A, year 1 / year 10	9.8 / 128.5	5.8 / 62.2	3.7 / 29.9		
EBIT margin, year 1 / year 5 / year 10	−2.7% / 13.1% / 7.9%	1.7% / 21.7% / 20.2%	4.2% / 25.3% / 26.1%		
FCFF, year 1 / year 5 / year 10	−18.1 / −12.3 / −0.6	−7.4 / 20.0 / 47.7	−1.4 / 39.2 / 76.0		
PV of years 1–10	−57.0	72.4	148.2	129.4	75.8
PV of the terminal value	53.5	187.2	254.5	133.7	67.3
Enterprise value	−3.4	259.5	402.7	263.0	143.2
DCF price	$39.49	$199.83	$287.13	$160.34	$87.30
Fair value	$234.88	$347.12	$408.23	$112.24	$61.11

Moving from 3-year to 5-year GPUs adds $263 bn of EV; extending the writeoff from 5 to 8 years adds another $143 bn. The respective DCF price increases are $160 and $87 per share. Because fair value gives the DCF only 70% weight and comparables do not see capex, those changes add $112 and $61 to fair value.

8. If management accepts the market's price

Suppose management drops its minimum market cap: `management.min_market_cap: none`. The range is then fair value less the 15% IPO discount, and the book decides the price. With prices around $200, the price step is $5.00 (Appendix C.12), and in the US the band runs from 80% of the range's low to 20% above its high.

	Case A	Case B	Case C
Range midpoint = fair value × 0.85	$199.65	$295.05	$346.99
Price range	$185–210	$280–310	$325–365
Book band (80% of low → 120% of high, $5 steps)	$145–250, 22 prices	$220–370, 31 prices	$260–435, 36 prices

The book at selected prices (institutional demand: 300 × $1 bn × 2.2 for very high interest × 1.27 for hype 9 × 0.95 for dual-class shares × (fair value ÷ price)³; retail: 2,000,000 × $5,000 × 2.2 × 3.25 for hype × (fair value ÷ price)^0.27; the index factor is 1, because a dual-class company is not eligible for the index):

Case A:

Price	Institutional ($bn)	Retail ($bn)	Coverage
145.00	3,384.5	86.9	34.71×
185.00	1,629.6	78.8	17.08×
210.00	1,114.2	74.8	11.89×
250.00	660.4	69.7	7.30×

Case B:

Price	Institutional ($bn)	Retail ($bn)	Coverage
220.00	3,127.7	86.0	32.14×
280.00	1,517.1	78.0	15.95×
310.00	1,117.9	74.9	11.93×
370.00	657.5	69.7	7.27×

Case C:

Price	Institutional ($bn)	Retail ($bn)	Coverage
260.00	3,082.2	85.8	31.68×
325.00	1,578.1	78.4	16.57×
365.00	1,114.0	74.8	11.89×
435.00	658.1	69.7	7.28×

Every price in the band is covered more than three times, so the deal prices at the top of the band, 20% above the range:

At the offer price	Case A	Case B	Case C
Offer price	**$250.00**	**$370.00**	**$435.00**
Position	above the range	above the range	above the range
Offer price ÷ fair value	1.064	1.066	1.066
New shares (= $100 bn ÷ price)	400,000,000	270,270,270	229,885,057
Shares after the IPO	2,040,000,000	1,910,270,270	1,869,885,057
Market capitalisation	$510.0 bn	$706.8 bn	$813.4 bn
… compared with the last private round ($965 bn)	−47%	−27%	−16%
Dilution (new ÷ all shares)	19.6%	14.1%	12.3%
Coverage	7.30×	7.27×	7.28×

At the offer price	Case A	Case B	Case C
Institutions / retail receive	13.6% / 14.3% of what they ordered	13.7% / 14.4%	13.7% / 14.4%
DCF value per share after the IPO	$80.76	$223.90	$305.31
Expected first-day pop (heuristic)	33.9%	33.9%	33.9%
Expected first-day close	$334.76	$495.33	$582.37
Money left on the table	$33.9 bn	$33.9 bn	$33.9 bn
Index	not eligible: dual-class shares	not eligible: dual-class shares, free float 14.1% < 15%	not eligible: dual-class shares, free float 12.3% < 15%
Warnings	V008 margin, V014 hype, V017 methods disagree, V020 revenue per employee	V014, V015 free float, V017, V020	V014, V015 free float, V017, V020

The offer price ends **above fair value** in all three cases. Demand is so strong that the book is covered more than seven times even at the top of the band; the US rules allow pricing 20% above the range, and the hype factor of 9 lets the book run past the IPO discount entirely. In Sweden the maximum price would be the top of each range: $210, $310 and $365.

Monte Carlo (10,000 draws, seed 42, the ten scenario drivers varied as in §12 of the design):

	Case A	Case B	Case C
Fair value, 5th percentile	$170.80	$261.94	$310.80
Fair value, median	$229.40	$336.95	$395.40
Fair value, 95th percentile	$293.60	$420.09	$490.29
Chance fair value is below the offer price	**70.1%**	**74.2%**	**75.3%**

In roughly seven to eight draws out of ten, IPO buyers pay more than the company is worth on the model's assumptions. They buy the pop and the story, not the value.

What would a $2 trillion IPO need? A $2 trillion market cap after the IPO means P × (1.64 bn + $100 bn ÷ P) = $2,000 bn, so P = $1,158.54 per share. Even with all the weight on the comparables, that needs a multiple of (1,158.54 × 1.64 − 70 + 1.8) ÷ 88.7 = about 20.6 times next year's revenue, against the 12× assumed here.

9. Sensitivity

Each row changes one assumption from the Case A or Case B base case, without management's floor. DCF and fair value per share in dollars, and the resulting offer price.

Change	A: DCF	A: fair value	A: offer	B: DCF	B: fair value	B: offer
Base case	39.49	234.88	250.00	199.83	347.12	370.00
Wage inflation 5% instead of 8%	72.76	258.17	280.00	233.08	370.39	400.00
Stock pay 50% of cash pay instead of 100%	78.13	261.93	280.00	238.34	374.08	400.00
Training compute 15% of revenue instead of 22%	127.02	296.15	315.00	287.20	408.27	435.00
Comparable multiple 8× instead of 12×	39.49	169.96	185.00	199.83	282.20	305.00

Change	A: DCF	A: fair value	A: offer	B: DCF	B: fair value	B: offer
Comparable multiple 16×	39.49	299.80	320.00	199.83	412.04	440.00
DCF weight 100%	39.49	39.49	42.50	199.83	199.83	215.00
Terminal growth 3.5% instead of 2.5%	47.78	240.68	255.00	214.41	357.32	380.00
GPU fleet 0.6× revenue (capex 20% / 12%)	162.81	321.21	345.00	269.62	395.97	425.00

- **The GPUs dominate.** A fleet of 0.6× revenue instead of 0.9× (capex 20% instead of 30% for Case A) adds $123 to Case A's DCF price. Moving from 3- to 5-year GPUs adds $160; moving from 5 to 8 years adds another $87.
- **Training compute is next.** 15% of revenue instead of 22% adds $88 to either DCF.
- **Talent is real but smaller.** Pay rising 5% instead of 8% a year adds $33 to either DCF and $23 to fair value. Halving stock pay to 50% of cash pay adds $39 to either DCF and $27 to fair value.
- **The comparables move fair value one for one with the market's mood.** Each turn of the multiple is worth $16.2 per share of fair value (30% × $88.7 bn ÷ 1.64 bn shares), in both A/B sensitivity cases.
- **On cash flows alone the IPO fails.** With 100% DCF weight, Case A is worth $39.49; even Case C is worth only $287.13 per share.

10. What the analysis says

1. **A frontier AI lab is an infrastructure business wearing software clothes.** Its gross margin can reach software levels, but its GPU fleet behaves like heavy industry's machinery: capex of 11.25–30% of revenue, for ever. How long the GPUs last decides whether the operations are worth almost nothing or $403 bn.
2. **"Loss-making" is partly an accounting choice.** The same operating business shows an operating loss in year 1 with 3-year depreciation and a profit with 5- or 8-year depreciation. Free cash flow, which the DCF values, is negative in year 1 in all three cases.
3. **The private round is the obstacle.** All three cases value Nimbus below the $965 bn post-money of its last round. A listing means a down round of 16–47%, unless investors pay a comparables multiple far above 12×.
4. **The market, not the model, would set the price.** With hype at 9 and very high interest, the book runs to the top of the US band, above fair value, above fair value in all three cases, and the expected first-day pop is still 34%: about $34 bn left on the table.
5. **The talent war costs less than the compute war.** At $15–37 m of revenue per employee, people are a small share of costs, even at $2.1 m of pay each; compute and GPUs are most of them.

11. Reproducing the numbers

The scenario files, written by `pm-valuation --save` from the answers in §3. Case B differs from A only in `capex_pct: 18%` and `useful_life: '5'`; Case C uses `docs-design/nimbus-8y.yaml` and differs only in `capex_pct: 11.25%` and `useful_life: '8'`:

```yaml
pm_valuation: 1
company:
  name: Nimbus Cognition Inc.
  ticker: NMBS
  sector: b2b_saas
  dual_class: 'yes'
  market: us
market:
  tam: 1500bn
  tam_growth: 30%
  sam_share: 60%
  structure: oligopoly
customers:
  last_fy_revenue: 65bn
  now: 400,000
  arpu: 162,500
  arpu_growth: 5%
  churn: 10%
  growth_y1: 60%
people:
  headcount: 4,500
  loaded_cost: 1.05m
  wage_inflation: 8%
  elasticity: '0.5'
  growth_floor: 5%
  split_rnd: 55%
  split_snm: 20%
  split_gna: 12%
  split_ops: 13%
costs:
  infra_fixed: 8bn
  infra_per_customer: 30,000
  other_cogs_pct: 10%
  cac_paid: 48,750
  rnd_nonstaff_pct: 22%
  sbc_pct: 100%
capital:
  capex_pct: 30%
  useful_life: '3'
  nol: 15bn
  cash: 70bn
rates:
  beta_stage1: '1.8'
  beta_stage2: '1.3'
  size_premium_1: 0%
  size_premium_2: 0%
  execution_premium: 5%
offering:
  shares_pre: 1,640,000,000
  raise: 100bn
  gross_spread: 1.5%
  other_expenses: 300m
investors:
  inst_interest: very_high
  n_institutions: '300'
  avg_ticket: 1bn
  retail_interest: very_high
  n_retail: 2,000,000
```

```
  retail_application: 5,000
  hype: '9'
  comps_multiple: 12x
management:
  last_round: 965bn
```

```
pm-valuation --load nimbus-3y.yaml --no-tui --mode deterministic --export nimbus-3y.md
pm-valuation --load nimbus-5y.yaml --no-tui --mode deterministic --export nimbus-5y.md
pm-valuation --load docs-design/nimbus-8y.yaml --no-tui --mode deterministic --export nimbus-
```

For §8, add `min_market_cap: none` under `management:`; for the Monte Carlo, use `--mode montecarlo`. The report's sections hold every table for all three cases.

Sources

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- Forge Global: Anthropic upcoming IPO news
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- Fortune, 18 Feb 2026: OpenAI's record equity compensation
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- FourWeekMBA: The GPU depreciation debate